CSIS JAPAN CHAIR

Japan Daily Brief

Thursday, October 15, 2026

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RE: Farm minister replaced · Russia detains Hokkaido Shimbun reporter · DPRK sub-launched missiles · Japan-US $21B chip deal · Nikkei -6.7%

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
64,425.95	157.73	$104.52	1.25%
▼ -6.69%	▼ -0.21%	▼ -2.00%	

TOP STORIES

CHINA-JAPAN

Russia Detains Japanese Journalist on Espionage Charges

Russia's FSB arrested Hokkaido Shimbun reporter **Yuki Imai** in the Sakhalin region, accusing him of collecting military intelligence; a Russian court ordered him held for two months, with a potential sentence of up to 20 years if convicted. Japan's Foreign Ministry summoned Russian Ambassador Nikolai Nozdrev in protest; PM Takaichi denied any Japanese espionage, while Russia's Foreign Ministry called the alleged conduct 'unacceptable' and the Russian ambassador stated the case would proceed under Russian law.

WSJ

TECHNOLOGY

Japan to invest up to $21 billion in two U.S. chip factories to be run by GlobalFoundries

Japan will invest *up to $21 billion* in two GlobalFoundries fabrication plants to be built in New York State, the most concrete project-level disbursement yet under the $550 billion US-Japan strategic investment framework agreed under the Trump administration. METI Minister Ryosei Akazawa described the deal as advancing joint US-Japan competitiveness in artificial intelligence.

THE JAPAN TIMES

DPRK

North Korea says it test-fired submarine-launched cruise missiles Wednesday

North Korea confirmed via state media that it test-fired two types of submarine-launched strategic cruise missiles in the Sea of Japan on Wednesday, claiming the launches posed no danger to neighboring countries; South Korea, the United States, and Japan held trilateral consultations in response. The tests mark the first DPRK underwater-launched missile activity in nearly three years, occurring days after North Korea's October 13 tactical ballistic missile test that Pyongyang described as a 'big success.'

MAINICHI

POLITICS-DIET

Japan farm minister steps down, first for Takaichi cabinet

Agriculture, Forestry and Fisheries Minister **Kazuo Yana** resigned amid a series of allegations including remarks about budget cuts that drew public criticism, marking the first ministerial exit of the Takaichi cabinet. PM Takaichi accepted the resignation and moved to name **Arata Takebe** as replacement, describing him as an 'immediate asset' despite Takebe's lack of prior cabinet experience.

REUTERS

POLITICS-DIET

Takaichi Cabinet’s approval rate drops to new low of 42.4%, Jiji poll shows

The Takaichi Cabinet's approval rating dropped to *42.4%* in the latest Jiji Press poll — a new low since the cabinet's launch — with the decline attributed to public criticism of the decision to initially retain scandal-hit Agriculture Minister Yana. The Japan Times analysis describes Yana's exit as halting the immediate crisis but leaving broader questions about Takaichi's management style and cabinet-reshuffle approach unresolved.

THE JAPAN TIMES

ECONOMY-BOJ

Nikkei 225 falls 5% on rate and AI concerns

The Nikkei 225 closed at *64,425.95*, down *6.69%*, as a technology-sector rout originating in the United States — following a higher-than-expected US inflation reading — spread through Asian markets. Bloomberg reported the move is prompting a rethink of the 'buy stocks, sell bonds' trade that characterized the first year of PM Takaichi's administration, with bond appeal growing as the BOJ is reported to be leaning against a back-to-back October rate hike.

THE JAPAN TIMES

STAT OF THE DAY

$21B

Japan's investment in two GlobalFoundries chip plants in New York

The investment is part of the broader $550 billion US-Japan strategic investment framework announced in 2025; two new fabrication facilities are to be built in New York State.

Japan to invest up to $21 billion in two U.S. chip factories to be run by GlobalFoundries — Japan Times

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · THURSDAY, OCTOBER 15, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi held a formal press conference on Agriculture Minister Yana's resignation, announced Arata Takebe as successor, and denied Japanese espionage in Russia in connection with the Hokkaido Shimbun journalist detention.

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

PM holds press conference on Agriculture Minister Yana's resignation, names replacement

Prime Minister **Sanae Takaichi** convened a press conference on the resignation of Agriculture, Forestry and Fisheries Minister Kazuo Yana and announced that **Arata Takebe** would be appointed as his successor, describing Takebe as an 'immediate asset.' Takaichi also separately denied that Japan had conducted any espionage activities in Russia in connection with the Hokkaido Shimbun journalist detention case.

→ Kantei ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS · *Director-General Dr. Nakamura*

MOFA summons Russian Ambassador Nozdrev over detained journalist

Director-General Dr. **Nakamura** summoned Russian Ambassador **Nikolai Nozdrev** to lodge a formal protest over Russia's detention of Hokkaido Shimbun reporter Yuki Imai in the Sakhalin region on espionage allegations. Japan demanded information on the case and called for fair legal process; Russia's ambassador subsequently stated the journalist would be investigated under Russian law, rejecting Tokyo's requests.

→ MOFA ↗

日本銀行 · BANK OF JAPAN · *BOJ Policy Board Member Junko Koeda*

BOJ board member Koeda warns against excessive caution on rate hikes in Kumamoto speech

BOJ Policy Board member **Junko Koeda** delivered a speech in Kumamoto on economic activity, prices, and monetary policy, warning against excessive caution on rate hikes. Reports separately indicate the BOJ is likely to pause a rate hike at its October meeting, with market odds for a December move near 90%; the dollar-yen pair briefly slid to 157.83 on the BOJ-related reporting.

→ Bank of Japan ↗

DIET SESSIONS / LDP

LDP

Ruling party and opposition reach impasse on Lower House seat reduction

Ruling LDP and opposition parties remained at loggerheads in consultations over reducing Lower House seats, with talks making no progress; the LDP separately raised the idea of stricter rules on proportional-representation comeback seats. The debate continues in the context of the ongoing extraordinary Diet session.

HOUSE OF REPRESENTATIVES

Jiji poll: 55% support consumption-tax cut bill; half want Diet seat-reduction resolved this session

A Jiji Press poll showed *55%* of respondents support the consumption-tax cut bill currently before the Diet, while roughly half want a conclusion on seat reduction reached within the current Diet session.

● PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026	**63%**	**33.9%**
Asahi · Sep 28, 2026	**51%**	**33%**

ANN · Sep 23, 2026 · **22d ago**	**58.3%**	**27.6%**
Kyodo · Sep 23, 2026 · **22d ago**	**53.4%**	**30.9%**
Nikkei · Sep 5, 2026 · **40d ago**	**62%**	**33%**
Yomiuri · Sep 19, 2026 · **26d ago**	**59%**	**30%**
FNN · Sep 15, 2026 · **30d ago**	**61.6%**	**32.2%**

Discourse: The resignation of Agriculture Minister Yana — the first cabinet departure of the Takaichi government — has refocused opposition attacks on the PM's judgment in retaining him through weeks of escalating allegations, with the Japan Times noting residual questions about Takaichi's management style and reshuffle criteria.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

FINANCE · THE JAPAN TIMES · MUFG

Takaichi 'buy stocks, sell bonds' trade under pressure as bond appeal grows one year in

The trade that defined PM Takaichi's first year — buying Japanese equities while selling JGBs — is being reassessed as the Nikkei drops sharply and JGB yields stabilize at *1.50%* on the 10-year. Investors are re-entering Japanese bonds, with MUFG said to be wading back into the market while watching fiscal and monetary policy risks.

FINANCE · THE JAPAN TIMES · MUFG, MITSUBISHI UFJ FINANCIAL GROUP

MUFG re-enters JGB market, citing concern over further yield spikes from fiscal and monetary policy

Mitsubishi UFJ Financial Group's global markets division is wading back into Japanese government bonds while keeping watch on risks of yield spikes from Japan's fiscal trajectory and BOJ normalization path. The bank's move comes as the 10-year JGB yield holds at *1.50%* and the BOJ is reportedly set to pause its October rate hike.

FINANCE · REUTERS

Japanese insurers poised to repatriate overseas funds — gradually

Japanese insurance companies are preparing to bring money back home from overseas investments, a gradual shift driven by improved JGB yields and narrowing yield differentials with foreign bonds. The repatriation trend, if sustained, would support yen demand and reduce the carry-trade pressure that has kept the currency weak.

REGIONAL PRESSURE WATCH WATCH

Heavy — 52 items (14 Japanese government, 38 adversary signal)

CHINA

China's Global Times published pieces urging Japan's leadership to 'face history and break with the militarist past' following new Yasukuni shrine records; China's Foreign Ministry spokesperson also responded to reports of a Heilongjiang provincial delegation visiting a Russia-held island claimed by Japan, declining to characterize the visit as a provocation. No new CCG territorial-water intrusion near the Senkakus was reported in today's data.

NORTH KOREA

North Korea test-fired two types of submarine-launched strategic cruise missiles in the Sea of Japan on Wednesday — confirmed by KCNA — marking the first underwater-launched missile tests in nearly three years;

South Korea, the United States, and Japan held trilateral consultations in response, and US surveillance flights shadowed the launches.

RUSSIA

Russia's FSB arrested Hokkaido Shimbun reporter Yuki Imai in Sakhalin on espionage allegations; a Russian court ordered two months' pre-trial detention with potential sentence up to 20 years. Russia separately notified Japan of bombing drills in the Kuril Islands (Northern Territories), adding to bilateral tension. Tokyo summoned the Russian ambassador; Russia's ambassador rejected Japanese requests, stating the case proceeds under Russian law.

Senkaku / ECS: No new China Coast Guard territorial-water intrusion near the Senkakus was reported in today's Tier 4 or Tier 1 data; the prior tracker records four CCG vessels entering Senkaku territorial waters on October 10 as part of a near-daily patrol pattern.

> *"Japan's espionage under journalistic cover is unacceptable"*
>
> Russian Foreign Ministry spokesperson (attributed by Xinhua) · Japan's espionage under journalistic cover "unacceptable": Russian Foreign Ministry-Xinhua

Bottom line: North Korea's first submarine-launched cruise missile tests in nearly three years and Russia's detention of a Japanese journalist under espionage charges — compounded by Russian bombing drills near the Northern Territories — make this the most concentrated multi-vector adversary pressure day in the current tracking period; watch for Japan's next formal DPRK protest statement and any Russian response to the ambassador summons.

U.S.-JAPAN RELATIONS

TRADE · THE JAPAN TIMES

Japan-US chip project: $21B GlobalFoundries investment framed as joint AI-edge initiative

METI Minister **Ryosei Akazawa** stated that the joint US-Japan chip project — involving *up to $21 billion* in Japanese investment in two GlobalFoundries plants in New York — is significant for maintaining a shared technological edge in artificial intelligence. The investment represents the first major project-level disbursement named under the $550 billion strategic investment framework.

ALLIANCE · NIKKEI ASIA

Japan weighs including nuclear-powered submarines in updated Three Strategic Documents

Japan is considering incorporating nuclear-powered submarines into the updated security policy documents currently under review, a development that would mark a significant expansion of Japan's submarine ambitions and has direct implications for alliance interoperability and AUKUS-adjacent planning. North Korea simultaneously accused Japan of harboring 'sinister intentions' with the submarine discussion.

INDO-PACIFIC PARTNERS

KOREA-JAPAN · YONHAP

South Korea and Japan extend bilateral currency swap arrangement by three years to November 2029

Seoul and Tokyo agreed to extend their *$10 billion* bilateral currency swap arrangement by three years to November 2029, reinforcing financial stability cooperation between the two economies.

TRILATERAL · YONHAP

North Korea accuses Japan of 'sinister intention' over nuclear-powered submarine discussion

North Korea issued a statement accusing Japan of harboring 'sinister intentions' in connection with Tokyo's reported consideration of nuclear-powered submarines in updated security policy documents, framing the move as a threat to regional stability.

KOREA-JAPAN · KOREA HERALD

Samsung's top leadership convenes in Tokyo as Japan-Korea chip cooperation deepens

Samsung's senior executives gathered in Tokyo as semiconductor ties between Japan and South Korea continue to deepen, reflecting a trend of closer industrial integration between the two countries' technology sectors.

EXPERT ANALYSIS AND EVENTS

OP-EDS & THINK TANK COMMENTARY

THE NATIONAL BUREAU OF ASIAN RESEARCH

Japan-U.S. Cyber Policy Fellows

> *The NBR Japan-US Cyber Policy Fellows program advances bilateral cyber policy expertise as a foundation for alliance coordination in the digital domain.*

NBR's Japan-US Cyber Policy Fellows initiative is described, focusing on building practitioner-level expertise on cyber policy issues across both countries. The program targets officials and analysts working at the intersection of alliance security and digital policy. It reflects growing bilateral attention to cyber as an alliance domain alongside conventional and space capabilities.

SO WHAT As US-Japan alliance modernization expands into cyber and digital infrastructure, this fellows pipeline feeds directly into the policy communities managing those portfolios.

UPCOMING

Oct 19

Onagawa Nuclear Plant Reactor 2 shutdown (est.)

The No. 2 reactor at the Onagawa nuclear plant in northeastern Japan is scheduled to halt around Saturday due to a water leak, adding to Japan's near-term power supply considerations.

Oct 26

BOJ Monetary Policy Meeting (estimated)

The BOJ's October policy meeting is the next scheduled rate-decision point; reports indicate the BOJ is likely to pause a rate hike, with December move odds cited near 90%.

Nov 1

Japan-South Korea currency swap extended to November 2029

Seoul and Tokyo agreed to extend their $10 billion bilateral currency swap arrangement by three years to November 2029; the formal extension takes effect on the current agreement's expiry.

Mar 31

Deadline: Japan foreign resident basic policy finalization

PM Takaichi pledged (Oct 13) to finalize the government's basic policy on foreign residents by March 2027; the Diet's handling of the economic security and immigration-adjacent legislative agenda will track against this deadline.

Mar 31

Host-Nation Support Special Measures Agreement expires

The current US-Japan Host-Nation Support agreement (approximately ¥211 billion/year) runs through March 31, 2027; successor-agreement negotiations are a standing alliance management item.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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